

HEADLINE JUDGMENT

Note: 6 Jul figures are intraday prints; 3 Jul is now a final close (\$72.32 Brent). The Bloomberg extract relabelled the oil tickers this week (front-month now CO2/CL2, plus active COA/CLA; a 20-year Treasury was added) — re-mapped by the robust close-column scan, series continuous. Two gasoline series are tracked (AUTMUSAG / AAA pump — score reference; USRFRUSA / DOE spot — corroboration). **Score HOLDS at 19/30 — the stand-down survived the July-4th window (the key risk), keeping escalation at 3; the move down to 2 is blocked by a talks pause and the live routing dispute. Stand-down held:** no new strikes over the long weekend, and Iran–Qatar maritime trade resumed after a ~5-month suspension — a normalization signal. **But not yet a step toward 2:** the US–Iran technical talks are paused for Khamenei's funeral through ~9 Jul, and the routing dispute is active — Iranian state media says vessels are abandoning the Omani / US-backed corridor for the IRGC-designated lane after naval warnings, and France and the UK have offered a freedom-of-navigation naval mission that Iran opposes. Traffic is still “effectively closed” to commercial shipping (~27 transits vs ~84/day normal, convoys under naval escort, central lanes mined). **Market channels are quiet:** Brent sits at multi-month lows (~\$72, below pre-war; it touched ~\$70.6, the lowest since 27 Feb) — oil holds 1; the long end eased back from the quarter-end highs (30Y 4.97%, MOVE 65) and 5Y5Y slipped off the 2.20% line to 2.19% — Treasury 4, US-inflation 3; the dollar eased below 101; political 4 (gasoline easing). VIX 15.81. The deal grinds on in contested implementation; the swing is the post-funeral talks and the routing fight. Sequencing 21 → 19 → 19.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

6 Jul 2026 readings are intraday prints; 3 Jul and earlier are final closes (restated continuation series; front-month tickers now CO2/CL2). d/d deltas are 6 Jul intraday vs 3 Jul close (WTI/Henry Hub vs 2 Jul, as 3 Jul was a holiday); w/w deltas are vs 29 Jun close.

Benchmark	Intraday 6 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$71.98 /bbl	−\$0.34 (−\$1.17 w/w)	from \$72.48 (−0.7%) — below pre-war; touched ~\$70.6, the lowest since 27 Feb (oil at 1)	CO2 Comdty
Brent · recent closes	1 Jul \$72.00 · 2 Jul \$72.17 · 3 Jul \$72.32	holding just below the \$72.48 anchor — premium unwound, OPEC+ glut		CO2 Comdty (Close)
WTI front-month	\$68.38 /bbl	−\$0.27 (−\$2.03 w/w)	from \$67.02 (+2.0%) — still ~\$1.4 above its pre-war anchor	CL2 Comdty
Brent–WTI spread	\$3.60 /bbl	flat d/d	steady	derived
Henry Hub natural gas	\$3.18 /MMBtu	−\$0.02 (−\$0.01 w/w)	from \$3.06 (+3.7%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€44.87 /MWh	−€0.23 (+€2.25 w/w)	from €31.23 (+43.7%) — firm on the routing dispute	TZTA Comdty
Japan/Asia LNG (26 Jun print)	¥2,479	— (lagged)	from ¥1,669 (+48.5%) — stable	JGLA Comdty
OPEC+ supply	Fourth output hike (~600 kbpd since April); EIA now sees 2026 global demand falling ~1.1 mb/d — a structural bearish overhang.			OPEC+ / EIA
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

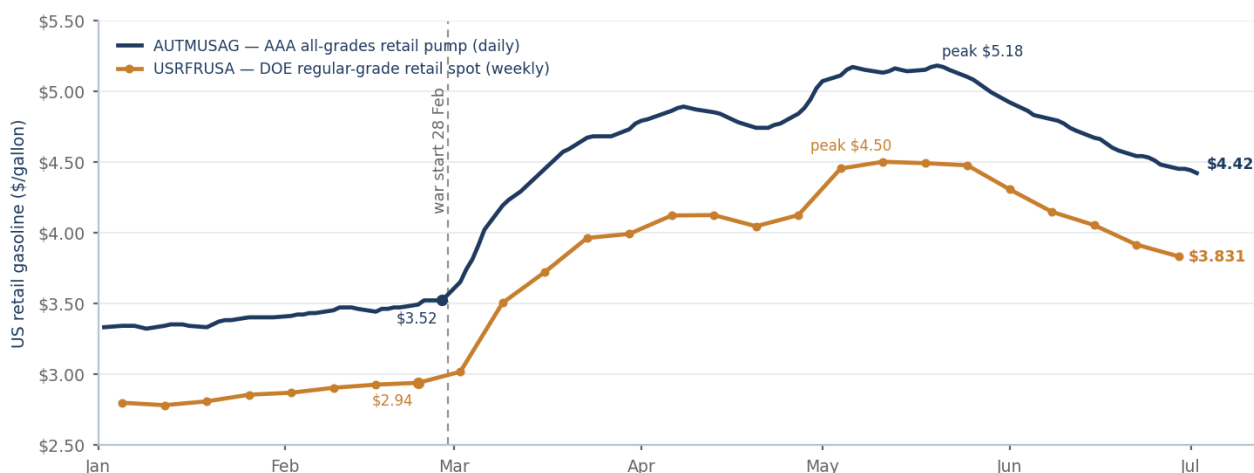
6 Jul 2026 yields are intraday (bond market reopened after the 3 Jul holiday). d/d deltas are 6 Jul intraday vs 3 Jul (carried 2 Jul) close; w/w deltas are vs 29 Jun close. The long end eased back from the quarter-end highs.

Tenor	Yield (%) — intraday 6 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.12	−1.3	+2.0	+75 (from 3.37%) — hawkish-FOMC level, softer on jobs	USGG2YR Index
5-year UST	4.21	−2.1	+6.7	+71 (from 3.50%)	USGG5YR Index
10-year UST	4.47	−1.8	+9.1	+53 (from 3.94%) — 18 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.97	−1.5	+10.7	+36 (from 4.61%) — eased back from near 5.00%	USGG30YR Index
2s10s spread	+34 bp	−0.5	+7.3	−22 (steep — soft-jobs front-end rally)	USYC2Y10 Index
10Y breakeven inflation	2.23	−0.6	—	−3 (from 2.26%) — just below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.19	−0.7	+1.8	+5 (from 2.14%) — slipped off the 2.20% upgrade line (US-inflation at 3)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	100.89	6 Jul intraday	+3.29 (from 97.61)	Holding below 101 (−0.22 w/w) after the soft June jobs report. Still firm on the hawkish FOMC; no Stage-4 break.
MOVE Index (bond vol)	65.40	2 Jul (lagged)	−7.98 (from 73.38)	Low — the long-end move is orderly term premium, so the Treasury →5 trigger (MOVE >75) is far off. Far below the 130 Stage-4 level.
VIX (equity vol)	15.81	3 Jul (lagged)	−4.05 (from 19.86)	Well below pre-war — equities calm; the strait grind is not a risk event for markets.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	\$4.42 /gal	2 Jul (latest)	+\$0.90 (from \$3.52, +26%)	The political-stress reference (pre-war \$3.52, peak \$5.18). Below the \$4.75 threshold, easing steadily; sub-pre-war crude should feed more relief.
Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration	\$3.831 /gal	29 Jun (weekly)	~+\$0.89 (from ~\$2.94, +30%)	Regular-grade spot; peak \$4.50 (11 May). Corroborates the AAA read — ~30% above pre-war and falling.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.42); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.831). Both spiked from the 28 Feb war start and have retraced most of the move to ~30% above their respective pre-war levels; with Brent now below pre-war, the pump price has further room to fall (with the usual refining/retail lag).

Strait operational state

Indicator	Current reading	Source
Stand-down survived 4 Jul	No new US–Iran strikes over the long holiday weekend; the 29 Jun stand-down held. Iran–Qatar maritime trade resumed after a ~5-month suspension (Al Ruwais port reopened to Iranian goods) — a normalization signal.	GEF / Reuters
Talks paused (funeral)	The US–Iran technical talks are paused for Khamenei's funeral through ~9 Jul; Islamabad is a frontrunner to host the next round. No progress on the nuclear/toll files this week.	GEF / dawn.com
Routing dispute active	Iranian state media (Mehr) reports almost no vessels using the Omani route, with ships diverting to the IRGC-designated lane after the IRGC Navy's warnings; France and the UK offered a freedom-of-navigation naval mission, which Iran warns against.	Mehr / GEF
Traffic — effectively closed	PortWatch ~27 transits vs the ~84/day pre-crisis baseline; convoys moving under naval escort; central lanes still mined (mine clearance months away). Full flows not before 2027 (ADNOC).	straits.live / PortWatch
Oil — multi-month lows	Brent at multi-month lows (~\$72, touched ~\$70.6 — the lowest since 27 Feb) on the unwound premium, OPEC+'s fourth hike and returning barrels; EIA now sees 2026 demand falling ~1.1 mb/d.	GEF / EIA / Bloomberg
Macro overlay	A soft June jobs report eased the front end and the dollar (below 101); the long end near 5.00% with low MOVE reflects term premium, not stress. The 17 Jun hawkish FOMC still frames policy.	Bloomberg / Fed

2 · US economic shock — analysis with bond yields

The US economic shock holds at **19/30**, the low of the post-deal period. The stand-down surviving the July-4th window kept escalation at 3; the talks pause and the routing dispute keep it from 2. The market channels are quiet — oil at multi-month lows below pre-war, breakevens below pre-war, VIX 15.81, and the long-end easing back from the quarter-end highs with low bond vol. The residual 19 is the mined maritime channel, the Fed-pinned Treasury, the lagging gasoline channel and a contested escalation. No Stage-4 signal.

2.1 · Bond-yield transmission

6 Jul yields are intraday; d/d vs 3 Jul close, w/w vs 29 Jun. **Score held at 19; no channel moved on the 3 Jul close.** The bond market reopened softer — the front end eased on the soft June jobs report, the long end slipped from near 5.00% to 4.97%, and 5Y5Y ticked off the 2.20% line to 2.19%. Brent held at multi-month lows.

(i) Inflation anchor — off 2.20%; held at 3. 5Y5Y forward at 2.19% is +5 bp above the 2.142% pre-war anchor, easing back from the 2.20% upgrade line; 10Y breakeven 2.23% is just below pre-war. US-inflation holds at 3 — a sustained break >2.20% would take it to 4; a sustained close at/below 2.142% to 2.

(ii) Long-end — eased to 4.97%; Treasury Fed-pinned at 4, →5 watch dormant. 30Y at 4.97% eased back from near 5.00% with MOVE low at 65.40 — an orderly term-premium level, not stress. The →5 trigger (30Y >5.00% with MOVE >75) is far off on the vol leg. 10Y at 4.47% is 18 bp below the 4.65% trigger.

(iii) Oil — multi-month lows; held at 1. Closes 1 Jul \$72.00, 2 Jul \$72.17, 3 Jul \$72.32; 6 Jul intraday \$71.98 (it touched ~\$70.6, the lowest since 27 Feb); WTI \$68.38. Brent sits just below the \$72.48 anchor, so oil holds at 1. A clear, sustained break below pre-war (sub-\$70 Brent) takes it to 0; a re-closure / sustained strikes back to 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The long end eased back from the 5.00% line with low bond vol, so Threshold B is off the boil.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y ~4.97%, the post-holiday coupon auctions are the test if the sell-off resumes.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Off the boil. 30Y 4.97% is 23 bp below the 5.20% trigger; 10Y 4.47% is 18 bp below 4.65%.

Threshold C · MOVE above 130. Contained. MOVE 65.40 and VIX 15.81 are both well below pre-war. Far below Stage-4 levels.

2.3 · Cross-asset

The market picture is settled: Brent below pre-war, WTI barely above it, breakevens below pre-war, MOVE and VIX well below — the energy and inflation shocks have fully unwound, and the dollar has eased below 101 on softer jobs. The score's residual 19 is now almost entirely the unresolved geopolitics — a mined, escort-only strait (maritime 4) and a contested, paused-talks escalation (3) — plus the Fed-pinned Treasury 4 and the lagging gasoline channel. Gasoline keeps grinding lower on both tracked series.

3 · Shock score

Total: **19/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. The strait is "effectively closed" to commercial shipping — ~27 transits vs ~84/day, convoys under naval escort, central lanes mined, Iran directing vessels to its IRGC lane. Not 5 — no formal re-closure; →3 not met (not verified mine-free).	↑ strait re-closed / blockade reinstated → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	1/5	Held at 1. Brent closes 1–3 Jul all just below the \$72.48 anchor; 6 Jul intraday \$71.98 (touched ~\$70.6, lowest since 27 Feb). WTI still ~\$1.4 above its anchor. The war premium is gone; not yet a clear sub-\$70 break.	↑ Brent >\$95 sustained → to 3. ↓ clear break below pre-war (sub-\$70 Brent) sustained → to 0.
US inflation impulse	3/5	Held at 3. 5Y5Y 2.19% eased off the 2.20% upgrade line, +5 bp above the 2.142% pre-war anchor; 10Y BE 2.23% (just below pre-war).	↑ 5Y5Y sustained >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned, →5 watch dormant. 30Y 4.97% eased back from near 5.00% with MOVE low at 65.40 — orderly term premium, not stress. The →5 needs MOVE >75.	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Scored on AUTMUSAG (AAA pump): \$4.42 (2 Jul), below the \$4.75 threshold and easing toward the \$3.52 pre-war. The DOE regular spot (\$3.831) corroborates; sub-pre-war crude should feed further relief.	↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	Held at 3. The stand-down survived the July-4th window (no new strikes) and Iran-Qatar trade resumed — so not back to 4; but the talks are paused for Khamenei's funeral (through ~9 Jul) and the routing dispute is active (Iran's IRGC-lane diversion, the France/UK naval-mission friction), so not to 2.	↑ fresh strikes / re-closure / deal collapse → back to 4–5. ↓ talks advance + sustained normalization → to 2.
TOTAL	19/30	Systemic-risk-watch band — held at 19 (low of the post-deal period). The stand-down survived the holiday flashpoint, but the paused talks and routing fight hold the score. The market shock has fully unwound; the residual is the mined strait, the Fed-pinned Treasury, the gasoline lag and a contested escalation.	

4 · What's changed since the last edition (3 Jul → 6 Jul AM)

Score holds at 19/30. The stand-down survived the July-4th window — no channel moved; the deal grinds on in contested implementation. Source: GEF / Reuters / Bloomberg.

Stand-down held. No new strikes over the long weekend; Iran-Qatar maritime trade resumed after ~5 months. Escalation stays at 3 (not back to 4). Source: GEF / Reuters.

Talks paused; routing dispute active. The technical talks are paused for Khamenei's funeral through ~9 Jul; Iran is diverting vessels to its IRGC lane and warning off the France/UK naval mission — so escalation does not fall to 2. Source: GEF / Mehr.

Oil at multi-month lows. Brent ~\$72 (touched ~\$70.6, the lowest since 27 Feb); the closes sit just below the anchor. Oil holds at 1. Source: GEF / Bloomberg.

Rates eased back. The bond market reopened softer on the June jobs report — the front end eased, the long end slipped from near 5.00% to 4.97% (MOVE 65.40), and 5Y5Y ticked off the 2.20% line. Treasury holds 4, US-inflation 3. Source: Bloomberg.

Ticker relabel. The oil front-month tickers are now CO2/CL2 (a 20-year Treasury was also added); the robust close-column scan kept the series continuous. Source: Bloomberg extract.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — talks resume, normalization continues	51%	The stand-down holds through the funeral pause, the talks resume (Islamabad/Doha), the routing and asset mechanics advance and traffic rebuilds; the OPEC+ glut keeps crude soft. Base case.	Brent \$60–72; 30Y 4.6–5.0%; MOVE <70; score eases toward the stress band (8–14).
Slow / partial implementation	38%	Ceasefire holds but normalization is slow and stop-start — the routing/toll fight, the mined central channel and the nuclear file persist; escort-only traffic. The base case now.	Brent \$64–76; yields firm; residual risk premium ~\$0–3/bbl; maritime 4 and a fragile escalation 3 persist.
Implementation breakdown (60-day window)	7%	The routing/toll or IAEA terms snag, or the asset mechanics stall, or Iran hardens the strait — stalling the deal without full-scale war.	Brent \$80–94; risk premium rebuilds toward \$8–14/bbl; escalation back to 4; oil re-rates up.
Ceasefire breakdown / re-escalation	3%	The stand-down fails and strikes resume — via Hormuz routing, the France/UK mission, US bases or Lebanon — despite the MOU.	Brent \$92–120; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, held down by the surviving stand-down.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 3 Jul edition: slow/partial +2 (36→38), implementation-breakdown –1 (8→7), ceasefire-breakdown –1 (4→3); deal-holds normalization (51%) and regional relapse (1%) held. Driver: the stand-down surviving the July-4th flashpoint lowers the near-term breakdown/relapse tails, but the paused talks and the active routing dispute shift weight onto the slow, stop-start path. The OPEC+ glut weighs on crude regardless.

6 · Watchlist · next 24–72 hours

Talks resume post-9 Jul — the swing. The round is paused for the funeral (Islamabad a frontrunner to host); whether it reconvenes and advances the routing / toll / nuclear files takes escalation toward 2, or a collapse back to 4.

Routing dispute / France-UK mission. Iran is diverting vessels to its IRGC lane and warning off the proposed France/UK freedom-of-navigation mission — the core maritime and escalation friction, and a re-escalation route.

Stand-down durability. It survived the July-4th window; whether it holds through the funeral pause and the next talks round is the key near-term risk.

Strait traffic / mines — maritime to 3. ~27 transits vs ~84/day under naval escort with central lanes mined; a sustained >25% verified mine-free run takes maritime 4→3.

Oil — oil to 0. Brent ~\$72 (touched ~\$70.6); a clear, sustained break below pre-war (sub-\$70) on the OPEC+ glut takes oil 1→0. A re-closure / strikes re-rates it up.

Rates — 5Y5Y 2.20% and 30Y 5.00%. 5Y5Y 2.19% (US-inflation →4 on a sustained break >2.20%) and 30Y 4.97% with low MOVE (Treasury →5 on >5.00% with MOVE >75) — both watches dormant. Post-holiday CPI and supply are the drivers.

Gasoline (both series) — political to 3. AAA \$4.42 and DOE \$3.831 sit ~30% above pre-war; with Brent below pre-war, continued relief toward pre-war (AAA \$3.52) takes political-stress 4→3.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month, relabelled from CO1/CL1); NGA/TZTA/JGLA Comdty; USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration). 3 Jul was a holiday (WTI/Henry Hub/MOVE did not print).

Tier 1 — news and institutional. Global Energy Flow, straits.live/PortWatch, Reuters, Bloomberg, dawn.com, GEF, EIA, UK Commons Library, ADNOC; US State Dept, CENTCOM, JMIC, IMO, OPEC+, Federal Reserve. The surviving stand-down, the funeral talks-pause, the Iran–Qatar trade resumption, the IRGC-lane routing diversion, the France/UK naval-mission proposal and the multi-month-low crude via GEF / Reuters / Mehr / straits.live.

Tier 3 — state media (labelled). Iranian statements (Mehr's Omani-route-abandonment claim, IRGC-lane directives, toll/sovereignty claims, the Iran–Qatar trade resumption) are labelled and corroborated against Reuters / GEF / AP; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (3 Jul); re-map columns via the robust scan (oil tickers relabelled to CO2/CL2; a 20Y Treasury added; both gasoline series; DXY col98).
2	Recompute deltas	d/d vs prior close (WTI/Henry Hub vs 2 Jul, as 3 Jul was a holiday); w/w vs the close five trading sessions back (w/w base = 29 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (none moved; oil holds 1 near pre-war). Escalation-risk is event-based, held at 3 (stand-down survived 4 Jul; talks paused, routing dispute active).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 3 Jul thin-holiday close firmed Brent to \$72.32; the bond market reopened softer on jobs).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with the post-9 Jul talks, the routing / France-UK-mission dispute, oil (→0) and the 5Y5Y 2.20% / 30Y 5.00% lines.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based — held at 3 this edition (the stand-down survived the July-4th window, so not back to 4; the talks are paused and the routing dispute is live, so not to 2). A hawkish FOMC continues to pin Treasury at 4; the long-end move is orderly (MOVE 65).

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest \$4.42) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.831) is tracked alongside and corroborates (~30% above pre-war, easing). See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent is now below pre-war and WTI barely above it; 5Y5Y (+5 bp) sits above; 10Y breakevens, MOVE and VIX are below; the hawkish Fed holds the front end, with the long end eased back from 5.00% and the dollar below 101 on soft jobs.

Intraday / ticker caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close. This week the Bloomberg extract relabelled the oil front-month tickers (CO2/CL2) and added a 20-year Treasury; the robust close-column scan keeps the series continuous. Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.